

Switching. As a practical rule, therefore, holders of common stocks who wish to retain their interest in the company should always exchange into a convertible senior issue of the enterprise, whenever it sells both at an investment level on its own account and also close to parity on a conversion basis. Just how large a premium a common stockholder should be willing to pay in making such an exchange is a matter of individual judgment. Because of his confidence in the future of his company, he is usually unwilling to pay anything substantial for insurance against a decline in value. But experience shows that he would be wise to give up somewhat more than he thinks is necessary in order to secure the strategic advantages that even a fairly sound convertible issue possesses over a common stock.⁶

Hedging. These advantages of a strong convertible issue over a common stock become manifest when the market declines. The price of the senior issue will ordinarily suffer less severely than the common, so that a good-sized spread may thereby be established, instead of the near-parity previously existing. This possibility suggests a special form of market operation, known as “hedging,” in which the operator buys the convertible and sells the common stock short against it, at an approximate parity.⁷ In the event of a protracted rise, he can convert the senior issue and thus close out the transaction at only a slight loss, consisting of the original spread plus carrying expenses. But if the market declines substantially, he can “undo” the operation at a considerable profit, by selling out the senior issue and buying back the common.

⁶ The same reasoning holds true when both issues are confessedly speculative.

Example: Western Maryland Railroad Preferred is convertible into common share for share. It sold no higher than the common during the greater part of 1928–1933. Yet, if any one was willing to own the common, he should have switched into the preferred, which had all the possibilities of the common plus its senior position. Early in 1934 the preferred sold at a fair premium above the common—23 against 17.

⁷ “Hedging” in commodities is a superficially similar but basically different type of operation. Generally speaking, its purpose is to protect a normal manufacturing or distributing profit against the chance of speculative loss through commodity price changes. A miller, having bought wheat that he will sell as flour some months later, will sell wheat futures as a “hedge” against the possibility of a decline in wheat destroying his profit margin. When the flour is disposed of, he covers (buys back) the wheat sold as protection. Most commodity hedging is thus designed as a safeguard, whereas security hedging is usually intended to yield direct profits.